states and be divided among them, without any interference of the Central government. The Constitution further provided for some central taxes like stamp duties on financial instruments to be collected and appropriated by states even though the rates of levy are decided by the Centre. It is noteworthy that there was no provision for any state tax to be collected by the Centre and distributed to the states in the 1950 Constitution.

This intergovernmental fiscal system was a perfect fiscal federal system with sovereign, independent and self-reliant states.

Loans and grants from the national fiscal authority, or the Central government in India's case, to subnational entities (or states) corrode the strength of their fiscal authority. The Indian Constitution, which devolved taxation powers between the Centre and states so neatly, made provisions relating to loans and grants that were susceptible to be misused by the Centre.

Article 292 (2) permitted the Government of India to make loans to any state and to give guarantees with respect to loans raised by any state. Article 293 (3) subjected loan-raising powers of the state(s) to the consent of the Government of India if there was a central loan outstanding towards that particular state or there was an outstanding central guarantee for a state's loan.

The Constitution debarred states, with very good reason, from borrowing abroad. Their borrowing powers [Article 293 (1)] extended only to borrowing 'within the territory of India'. This provision would soon open another channel of indebtedness to the Centre as all loans from multilateral and bilateral agencies taken by the Centre for states' projects would automatically result in them taking loans from the Centre.

These lending and borrowing arrangements sowed the seeds of states' dependence on the Centre and, over time, corroded fiscal federalism in India.